# Eureka Forbes Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

## 1. Snapshot

Sells Aquaguard water purifiers, plus robotic vacuum cleaners, water softeners and air purifiers (Aeroguard), and earns recurring income from service contracts (AMCs) and replacement filters for its large base of installed purifiers.

- Market cap about Rs 7,099 cr: what the market values the whole company at.
- FY26 sales Rs 2,710 cr, up 11%: the second year in a row of double-digit growth.
- FY26 operating margin about 11% (adjusted EBITDA margin 12.2%, up 0.55 points): slowly improving.
- Sep 2026 quarter: sales Rs 890 cr, up 15%; net profit Rs 73 cr, the highest quarterly profit so far.
- Net cash surplus of Rs 304 cr at Sep 2026: no net debt.

## 2. Concall coverage

| Quarter / source | Date | Read? |
|---|---|---|
| Q2 FY25 | Nov 2024 | Yes (skimmed) |
| Q3 FY25 | Feb 2025 | Yes (skimmed) |
| Q4 FY25 | 16 May 2025 | Yes (skimmed) |
| Q1 FY26 | Aug 2025 | Yes (skimmed) |
| Q2 FY26 | 14 Nov 2025 | Yes |
| Q3 FY26 | Feb 2026 | Yes (skimmed) |
| Q4 FY26 | 20 May 2026 | Yes |
| Q1 FY27 | 13 Aug 2026 | Yes |
| Q2 FY27 | 3 Nov 2026 | Yes, in full |

Nine calls across about two years. The latest call was read in full; earlier calls were read for promises and results.

### Latest concall highlights - Q2 FY27 (3 Nov 2026)

- Revenue up 15% on top of 14.9% growth a year ago; the product business grew in the high teens and water purifiers kept gaining market share.
- Launched an industry-first 4-year water purifier range with unconditional warranty on parts and filters, to remove the fear of running costs. The 2-year filter range launched over the last 15 months now makes up a large share of sales.
- Adjusted EBITDA margin rose to 13.6%, a lifetime high, purely from operating leverage; gross margin fell about 1.4 points due to commodity inflation.
- A 3-4% price increase from mid-November; Q3 margin will take a hit before the price rise fully shows in Q4. Target is flat margins for the full year.
- Service business flat in line with Q1 after AMC price increases; filter sales growth accelerated.

### Business mix & capacity

- Domestic vs export: an India consumer business; no export split given.

- Capacity: utilisation not disclosed. Inventory was built up ahead of new BIS (quality standard) norms.

## 3. Earning trigger thesis

The story is faster growth from water purifiers gaining share (helped by new longer-life filter products and in-store presence) plus newer categories like robotic vacuum cleaners, water softeners and air purifiers growing faster than the company. It's already in the numbers: growth stepped up from about 12% to about 15% in H1 FY27. The weak spot is the service business, which stalled after price increases.

| Trigger | What management said | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| Water purifier share gains | High-teens growth with market share gains in every recent call | Water purifier revenue up high teens in Q1 and Q2 FY27 | Ongoing | Strong |
| Longer-life products (2-year, 4-year) | Address the running-cost barrier | 2-year range now a large share of sales; 4-year launched Q2 FY27 | 1-2 years | Moderate: 4-year is new |
| Emerging categories | Robotics, water softeners, air purifiers as future growth engines | Growing much faster than company average | Ongoing | Moderate |
| Service revival | Confident of demand revival; new filter and Express Care propositions | Service flat after AMC price hikes; filter sales accelerating | Uncertain | Weak for now |

## 3b. Trigger check

| Trigger type | Yes/ No | What was said (date) |
|---|---|---|
| Debt cut | No | Already net cash |
| New business | Yes | Emerging categories 'grew significantly faster than company average'; 4-year purifier range launched (Nov 2026) |
| Margin up | Yes | Adjusted EBITDA margin up 43 basis points to 13.6%, 'driven entirely by operating leverage' (Nov 2026) |
| New management | No | Same MD & CEO and CFO |
| New capacity | No | Not stated |
| Big orders | No | Not applicable |
| Turnaround | No | Not applicable |
| Promoter buying | No | Not stated |

**Single concrete driver:** Water purifiers gaining share with longer-life 2-year and 4-year filter products, and robotic cleaners, water softeners and air purifiers growing faster than the rest.

## 3c. Margin bridge

Adjusted EBITDA margin was 13.6% in Q2 FY27 against about 13.2% a year ago. The lift came from operating costs growing slower than sales (operating leverage), even though gross margin fell on commodity inflation. Management expects a dip in Q3 and flat margins for the full year (lasting).

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY25 | Sustained double-digit growth, service transformation | Growth rose from 7.9% to 12% for continuing business; margin improved | Delivered |
| FY26 | Continued double-digit growth, margin improvement | Second year of double-digit growth; adjusted margin up 0.55 points | Delivered |
| Service (FY26) | Service growth to accelerate | High-teens in Q2 FY26, then flat after AMC price hikes in FY27 | Partly |
| FY27 (May 2026) | A year of faster growth, price rise of 6-7% to offset costs | H1 growth 15.1% vs 12.7%; margin flat at 12.2% | Delivered so far |

The story has stayed steady for two years: grow water purifiers, build emerging categories, fix service, keep margins rising slowly. Management did what it said on growth and margin. Service is the one promise that keeps wobbling.

## 5. Bottom line

### Durable earning trigger? → YES

The driver is named, repeated every call and visible in the numbers: faster growth, share gains and new products, with operating leverage lifting margin.

### Management consistent? → YES

Growth and margin promises have been met for two years. Service revival is the one area still lagging, but management has been open about it.

## 6. Checkpoints for next quarter

- Price increase from mid-November goes through and Q4 margin recovers
- Full-year adjusted margin is flat or better
- Water purifier growth stays in double digits in Q3

**Sources**


- Screener.in EUREKAFORB financials and concall transcripts (Nov 2024 to Nov 2026)
- Eureka Forbes Q2 FY27 earnings call transcript, 3 Nov 2026


This is not investment advice. Do your own due diligence.